

you. Debt collectors are forbidden to contact you at your workplace once you tell them your boss doesn't allow it. It's also illegal for them to discuss your debt with your boss or fellow employees.

If you need help negotiating with lenders to lower your monthly payments and possibly reduce the interest rates on your loans, you may want to contact a nonprofit credit counselor. You can work with a counselor face-to-face, over the phone, or online. Two places to start looking for a good match are the Association of Independent Consumer Credit Counseling Agencies (www.aiccca.org) and the National Foundation for Consumer Credit (www.nfcc.org). Both organizations hold their members to strict certification and counselor training standards. The Justice Department also keeps a list of agencies that meet the official standards for helping people considering bankruptcy. For one near you, take a look at www.usdoj.gov/ust/eo/bapcpa/ccde/cc_approved.htm or call 202-514-4100.

You may also want to look into other nonprofit counseling services available in your area. Some colleges and credit unions, for example, offer help, and you might be able to get a referral from a local bank or consumer protection office.

One thing you don't want to do is sign up with a so-called debt settlement firm that claims to help you pay off your bills for a fraction of what you owe. These companies generally advise people to make monthly payments into a special account instead of paying creditors. They promise to use the accumulated cash to settle debts for pennies on the dollar, but in the end they don't actually settle anything. Their tactics could result in you losing your cash—or worse, in a major blow to your credit score.

WHY YOU SHOULD TAKE A PASS ON PAYDAY LOANS

One loan you should avoid at all costs is a **payday loan**, which is a wildly expensive way to borrow money to tide you over until your paycheck clears. A lender will give you money as an advance on what you'll soon receive, but this will cost you about \$15 for every \$100 that you borrow for a period of two weeks. Over the course of a year, that's a percentage rate of 391%!